

Class 11th | BST



Unit - 1

Small Business
and Enterprises

Chapter 8 | Lecture 1

Billu



Pizza, fried
item, moosel.

Healthy products.

→ HDFC Bank

₹ 3L loan

→ Identify problem

→ A idea.

→ Business start.

→ Resources arrange.

→ Risk

→ Profit.

An Entrepreneur.

Importance of Entrepreneurship

Entrepreneurship can be defined as a systematic, purposeful and creative activity of identifying a need, mobilising resources and organising production with a view to delivering value to the customers, returns for the investors and profits for the self in accordance with the risks & uncertainties associated with business.

Entrepreneurship is important for national growth and social development. The most common problem they are facing is to conserve the outflow of limited national wealth and fulfilling the demand for consumer goods and services by locally producing them.



Importance of Entrepreneurship

In short, we can say that the present conditions demand developing countries to:

- ✓ Produce import substitute goods to stop outflow of national wealth.
- ✓ Produce more and more consumer goods and services to meet the increasing demand of these goods locally.
- ✓ Produce goods for export purpose to earn more and more foreign exchange.

All the above mentioned requirements can be met by more and more entrepreneurs.



Indian X

American.

3 in 1 device.

—

AC

Heater

Humidifier.

Importance of Entrepreneurship / Significance

Need for entrepreneurship can be made more clear from the following points:

- ✓ Life line of a nation: Entrepreneurship is a yardstick (standard) to measure the development of any country as no country can grow without development of entrepreneurship (business). We can see that in U.S., U.K, and other developed countries, there are well-developed and well-established enterprises. So, every nation tries to increase its trade by having more enterprises.



america kya kehta tha

- ✓ **Provide innovation:** Entrepreneur is an innovator who tries new methods of production, new technology, new ways of marketing, etc. He develops new business ideas and puts them into action to enhance the process of economic development.
- ✓ **Growth of economy:** The Entrepreneurs adapt to changes as changes take place in the environment. The changes adopted by entrepreneurs in enterprises even bring changes in the society and economy. Latest technology used by enterprises not only brings growth in the enterprises but it also brings growth of economy at large.

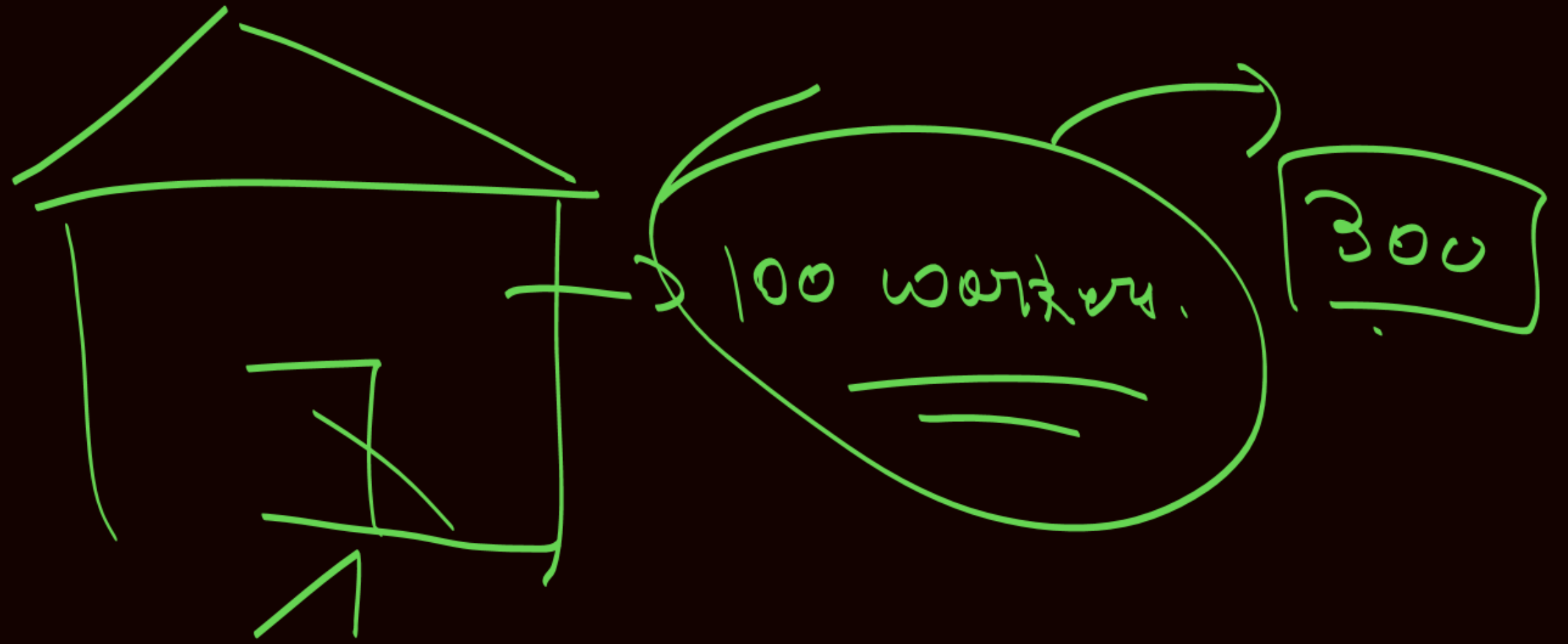


- ✓ **Increased profits:** An entrepreneur always tries to minimise cost. He always tries to get optimum utilisation of resources. The reduction of cost and increase in efficiency always result in increase in profit. (फायदेमंद) ✓
- ✓ **Employment opportunities:** Entrepreneurship not only provides the scope for self employment but also offers employment to large number of people as in the case of successful enterprises. Growth in entrepreneurial activities leads to more and more employment. ✓



SECURITY GUARD JOBS

Sulphate - free shampoos.



- **Social benefits:** Entrepreneurs always try to adopt latest technology and raise the standard of living by providing good quality products and services at lowest cost. By setting up enterprises in backward areas, they try to bring balanced regional growth. By making optimum utilisation of resources, they save scarce resources of society.

Regional growth
development

सबका साथ
सबका विकास



Characteristics of Entrepreneurship

● Systematic Activity

Entrepreneurship is a systematic, step-by-step and purposeful activity. It has certain temperamental, skill and other knowledge and competency requirements that can be acquired, learnt and developed, both by formal educational and vocational training as well as by observation and work experience.





Characteristics of Entrepreneurship

- **Lawful and Purposeful Activity**

Entrepreneurship aims to conduct a lawful business. The purpose of entrepreneurship is to create

Question

Which of the following is an important role of entrepreneurship?

- (a) Increasing unemployment
- ☒ (b) Generating employment opportunities
- (c) Reducing innovation
- (d) Restricting economic growth

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Ans: (b) Generating employment opportunities

Question

Entrepreneurship contributes to economic development by:

- (a) Discouraging investment
- ✓ (b) Creating employment and promoting innovation
- (c) Reducing production
- (d) Increasing dependence on imports

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Question

feature

Which of the following is a characteristic of entrepreneurship?

- ☒ (a) Risk-taking
- (b) Avoiding all changes
- (c) Lack of innovation
- (d) Dependence on others

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Ans: (a) Risk-taking

Question

An entrepreneur introduces a new product in the market. This reflects which characteristic of entrepreneurship?

- (a) Risk-bearing
- (b) Innovation
- (c) Uncertainty avoidance
- (d) Routine activity

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Ans: (b) Innovation

Question

Riya noticed that many young people in her town were unemployed. She started a small unit producing handmade decorative products. As the demand for her products increased, she employed several local people and trained them in production and packaging.

Questions:

- Identify the importance of entrepreneurship highlighted in the case.
- How does entrepreneurship help in solving the problem of unemployment?
- State one other importance of entrepreneurship.

Creating employment opportunities.

Answer

- (a) Employment generation
- (b) Entrepreneurs establish new businesses and employ people, thereby creating employment opportunities.
- (c) Innovation / Economic development / Balanced regional development.

THANK YOU

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